indosat
OOREDOO HUTCHISON

Empowering Indonesia

Results for the 1H of 2023 ('1H 23')

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Disclaimer

- PT Indosat Tbk (“Indosat Ooredoo Hutchison” or the “Company”) cautions investors that certain statements contained in this document state its management’s intentions, hopes, beliefs, expectations, or predictions of the future which are forward-looking statements

- The Company wishes to caution the reader that forward-looking statements are not historical facts and are only estimates or predictions. Actual results may differ materially from those projected as a result of risks and uncertainties including, but not limited to:

  - The Company’s ability to manage domestic and international growth and maintain a high level of customer service
  - Future sales growth
  - Market acceptance of the Company’s product and service offerings
  - The Company’s ability to secure adequate financing or equity capital to fund our operations
  - Network expansion
  - Performance of the Company’s network and equipment
  - The Company’s ability to enter into strategic alliances or transactions
  - Cooperation of incumbent local exchange carriers in provisioning lines and interconnecting our equipment
  - Regulatory approval processes
  - Changes in technology
  - Price competition
  - Other market conditions and associated risks
  - Integration of Hutchison 3 Indonesia’s business and operations

- The Company undertakes no obligation to update publicly any forward-looking statements, whether as a result of future events, new information, or otherwise

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Presented by

Vikram Sinha
President Director and CEO

2Q'23 & 1H' 23 Overview

Nicky Lee
Director and CFO

Financial Performance

Ritesh Singh
Director and CCO

Operational Performance

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2Q' 23 & 1H' 23 Overview

Vikram Sinha

President Director and CEO

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2Q'23 Total Revenue & EBITDA

IDR 12,730 Bn

IDR 6,054Bn

Revenue

+7% QoQ

EBITDA

+14% QoQ

Strong sequential growth in Q2

Solid performance with EBITDA growing 2x of revenue

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1H'23 Total Revenue & EBITDA

IDR 24,675 Bn

IDR 11,383 Bn

Revenue

+10% YoY

EBITDA

+24% YoY

Maintaining double digit YoY trajectory

With better profitability as EBITDA continues to grow faster than revenue

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Consistently Delivering Organic Net Profits

IDR 986 Bn

Normalized*
Net-Profit 2Q'23

IDR 1,273 Bn

Normalized*
Net-Profit 1H'23

Continuous Value Creation for our Stakeholders

** One-off items are detailed in appendix.*

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2Q'23 Highlights

Revenue

+6.6% QoQ

Strong revenue growth

EBITDA

+13.6% QoQ

EBITDA continues to grow faster than revenue

EBITDA Margin

+3ppt QoQ

Rise in margin a result of the focus on profitability

Net Profit*

IDR986 Bn

Continued strong net profit generation

Subscribers

+1.5 Mn QoQ

Increase in subscribers reflects strong traction

ARPU

+8.6% QoQ

Increased consumption and better monetization driving growth

** One-off items are detailed in appendix.*

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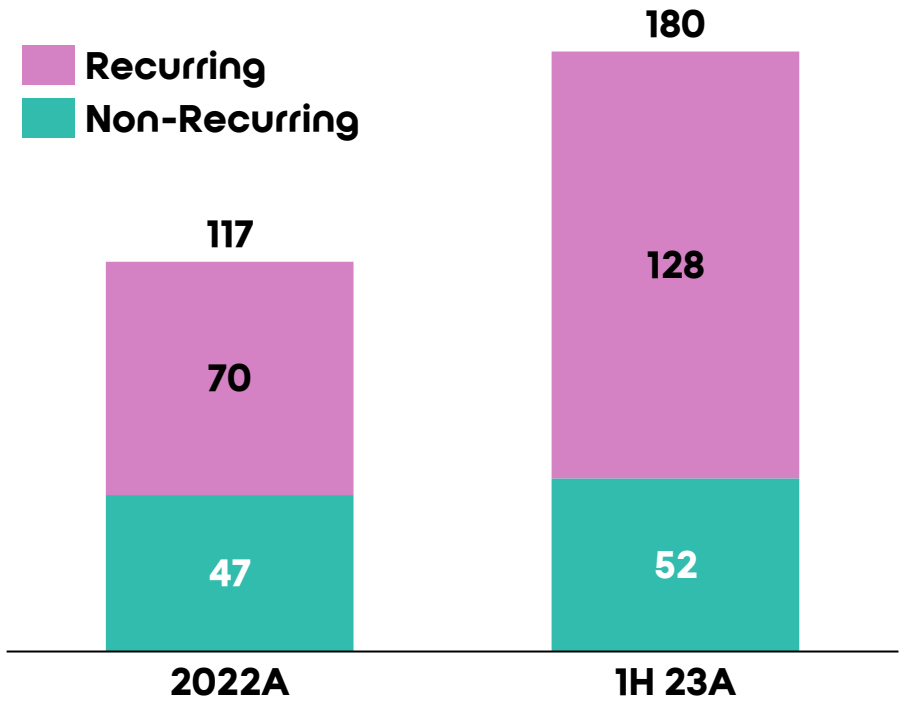
Network Integration complete but we are still on our journey towards realizing the full synergy benefits

MOCN Integration now activated across IOH network delivering greater experience

Core integration started in ex-Java to complete before end of the year and progressing to Java by 2024

ICT systems and business process improvements ongoing

Annualized Synergy* Run-Rate (USDmn)



On track to deliver synergies on the higher end of the projected range (c. US$400mn) in approximately 3 years post-merger (4-Jan-2022)

**Synergies reflected include cost savings and cost avoidance.*

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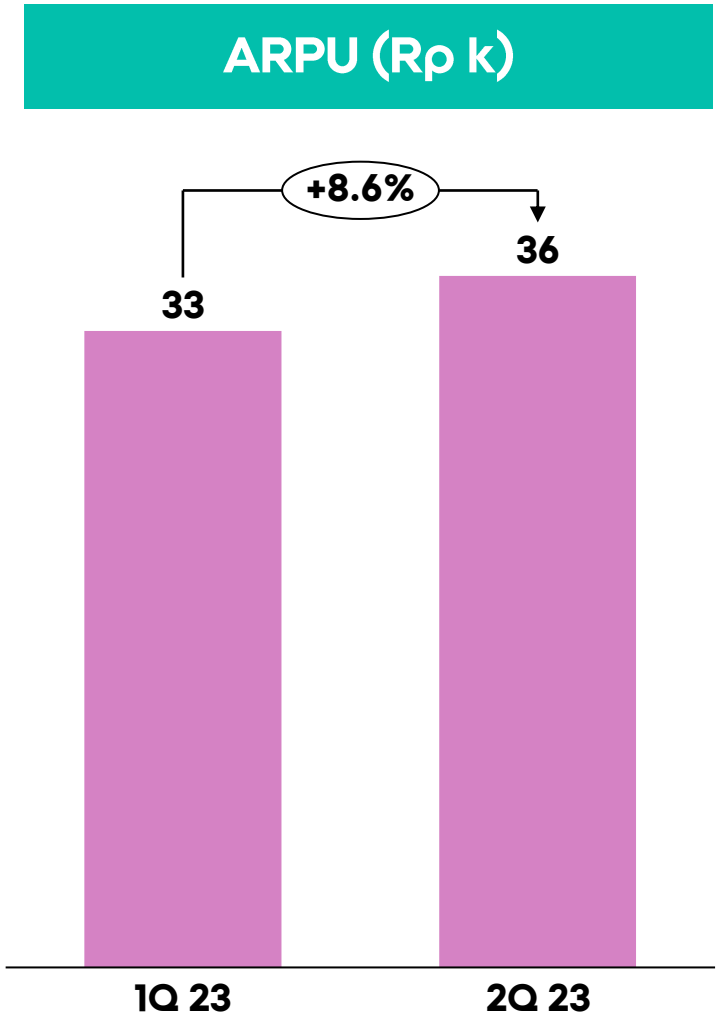
Aside from organic growth, we have implemented various measures to grow ARPU further



Our user-friendly and engaging apps are unlocking increased customer spend and fostering loyalty

Customer Value Management (CVM) tools powered by data analytics to enhance value propositions such as unique offers

Strategic partnerships to expand our Digital Services offerings are adding value to our customers

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Financial Performance

Nicky Lee

Director and CFO

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Solid 2Q'23 Performance Across All Financial Metrics

	1Q'23	2Q'23	Change
Revenue (IDR Bn)	11,945	12,730	**+6.6%**
EBITDA (IDR Bn)	5,329	6,054	**+13.6%**
EBITDA Margin	44.6%	47.6%	**+3.0%**
Net-Profit* (Attributable to owners - IDR Bn)	287	986	**+243.3%**
Net Debt to EBITDA	0.33x	0.45x	**+0.12x**

All figures presented in IDR Bn.
**Represents normalized figures. Normalized Net Profit excludes one-offs mainly gain on tower sale (IDR +652Bn) & tax provision (IDR -21Bn) in 1Q 2023 and tax provision (IDR -10Bn) 2Q 2023.*

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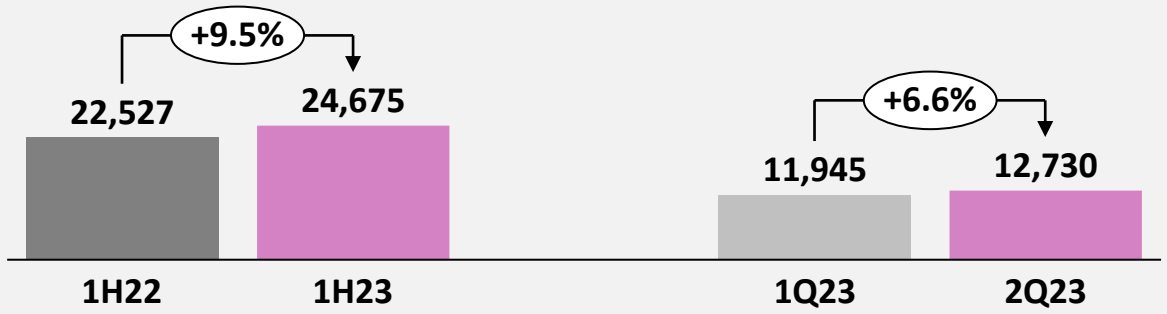
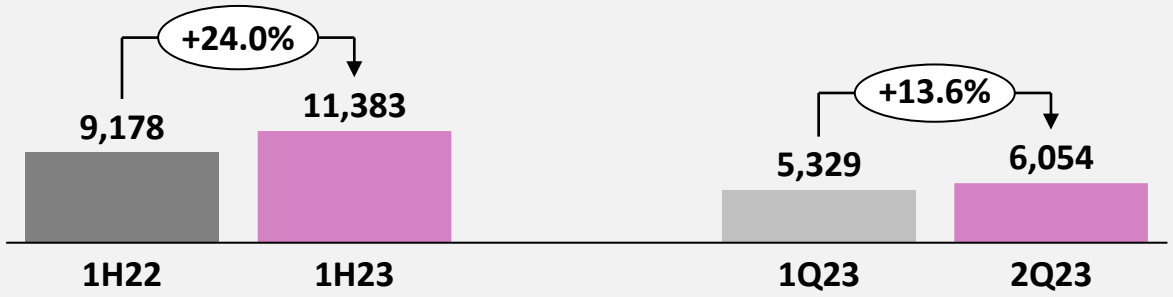
Financial Indicators – Reported & Normalized Figures

Total Revenue



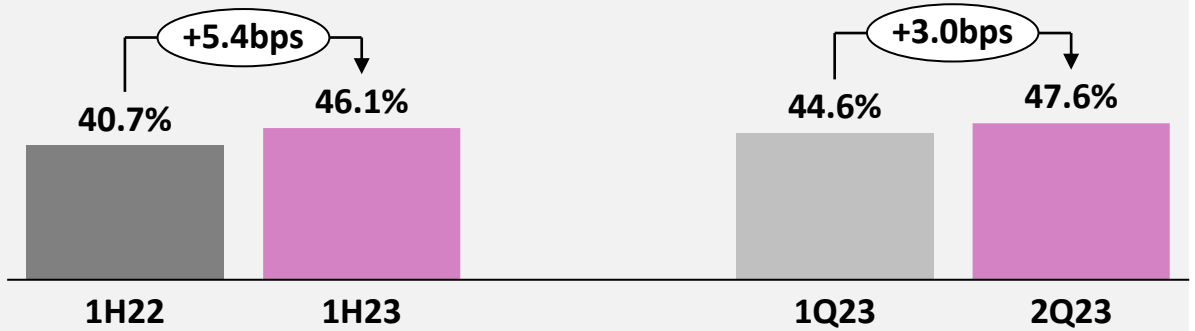
Reported

EBITDA



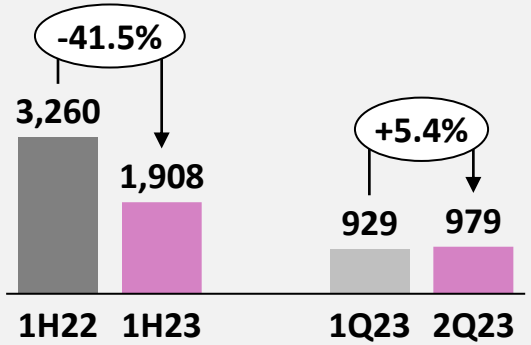
Reported

EBITDA Margin

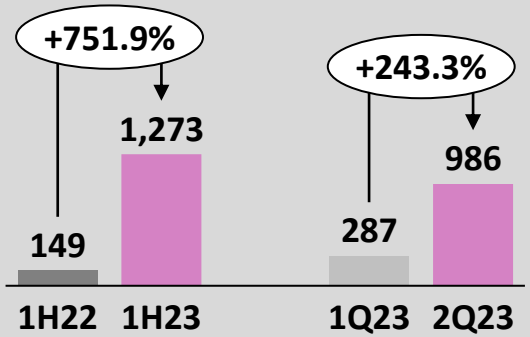


Reported

Net-Profit (Attributable to owners)



Reported



Normalized

All figures presented in IDR Bn.
Normalized Net Profit excludes one-offs mainly gain on tower sale (IDR +652Bn) & tax provision (IDR -21Bn) in 1Q 2023, tax provision (IDR -10Bn) 2Q 2023, and gain on disposal of investment (IDR +2,997Bn) in 2Q'22.

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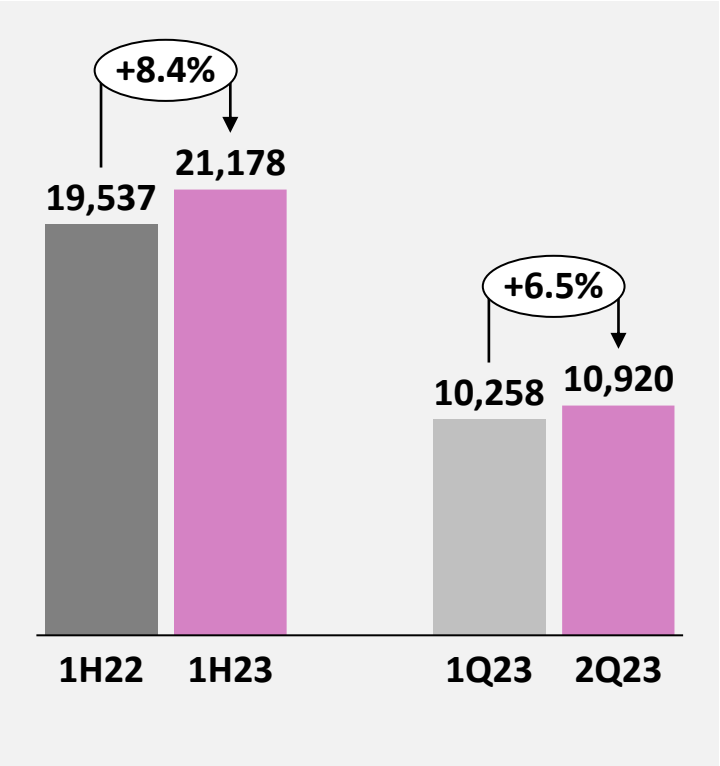
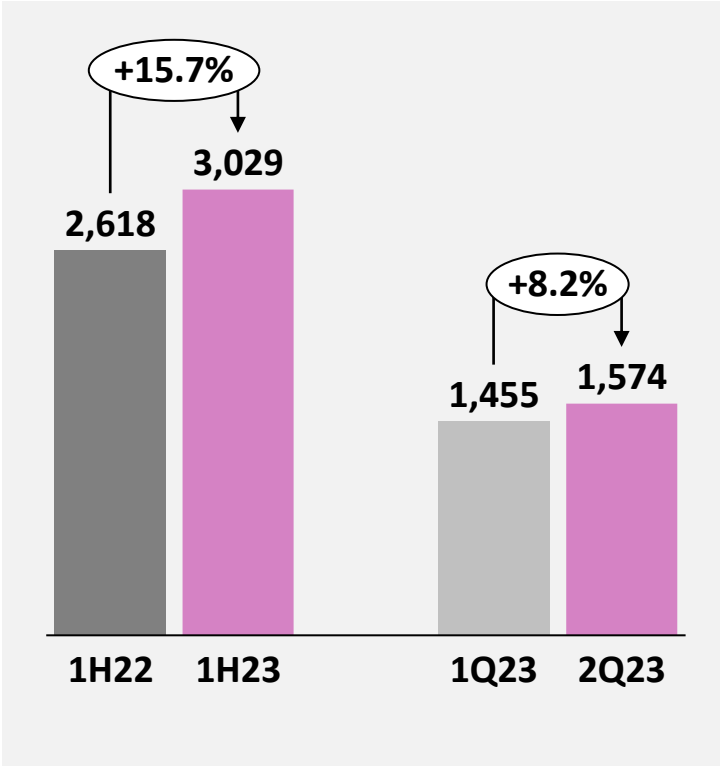
All business lines delivering strong YoY & QoQ momentum

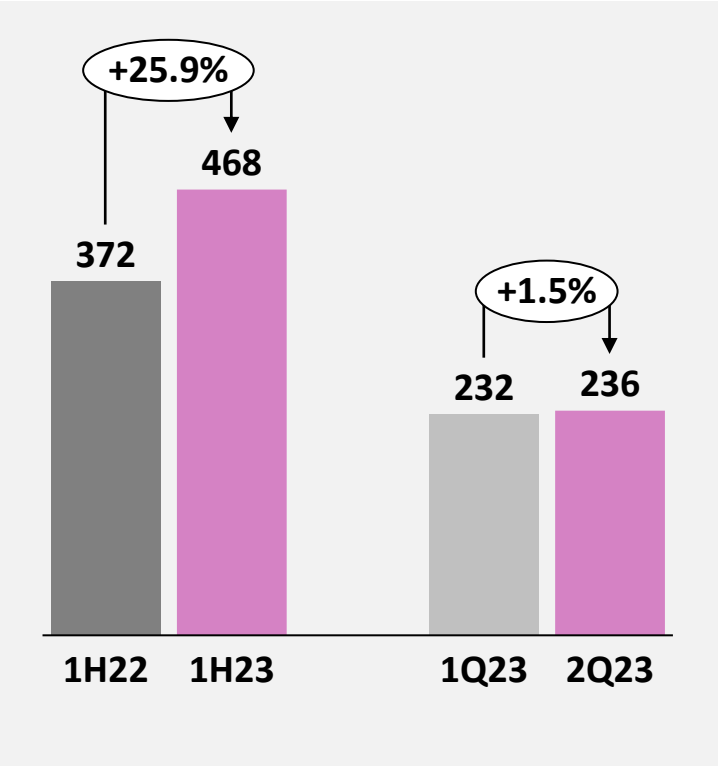
Cellular Revenue



MIDI



Fixed Telecom



All figures presented in IDR Bn.

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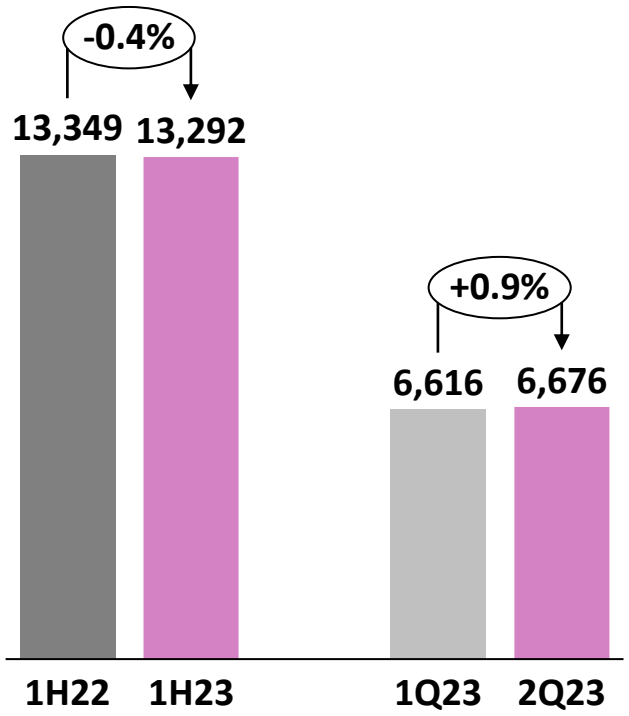
YOY OPEX and COS improvement through synergy and ongoing cost optimization initiatives across the organization

OPEX Performance



	1H'22	1H'23	Change	1Q'23	2Q'23	Change
Cost of Services	10,580	10,472	-1%	5,227	5,245	+0%
Personnel	1,757	1,886	+7%	925	961	+4%
Marketing	656	587	-10%	311	276	-11%
General & Administration	356	347	-3%	153	194	+27%
Total OPEX	**13,349**	**13,292**	**-0%**	**6,616**	**6,676**	**+1%**
Depreciation & Amortization	6,711	7,241	+8%	3,704	3,537	-5%
Other Operating (Income)/Expenses	-3,631	-624	+83%	-734	110	+115%
Total Expenses	**16,429**	**19,909**	**+21%**	**9,586**	**10,323**	**+8%**

All figures presented in IDR Bn.
QoQ OPEX increase due to higher G&A costs due to timing of consultancy cost.
Other Inc/(Exp) include gain on tower sale ((IDR +722Bn) in 1Q 2023 and gain on disposal of investment (IDR +3,493Bn) in 1H 2022, all figures are before tax and NCI.

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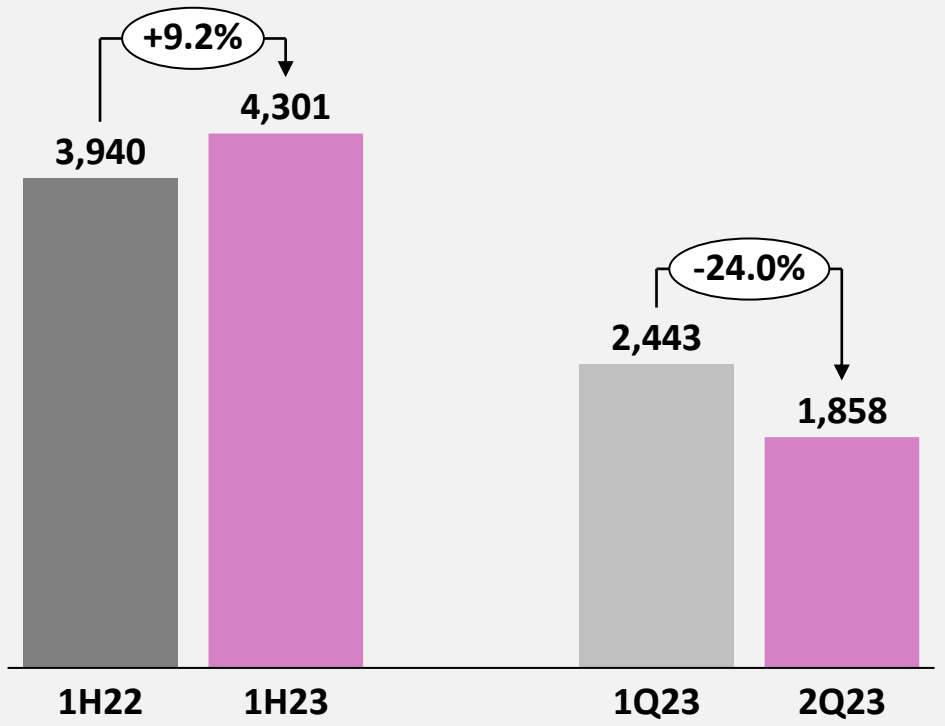
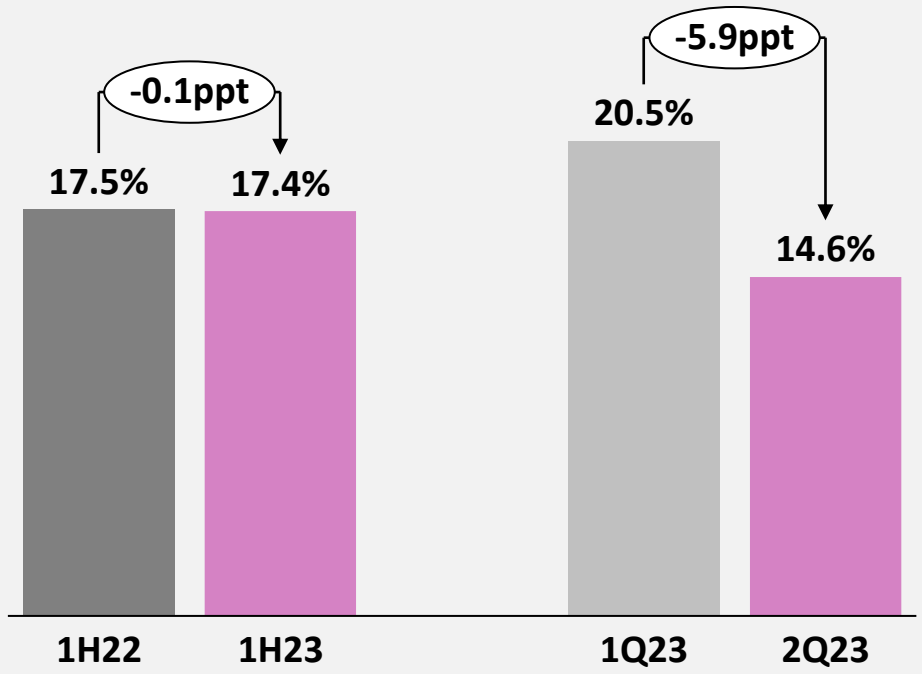
Increased CAPEX spend YoY while maintaining an efficient CAPEX to Revenue Ratio

Capitalized CAPEX



CAPEX to Revenue Ratio



All figures presented in IDR Bn.

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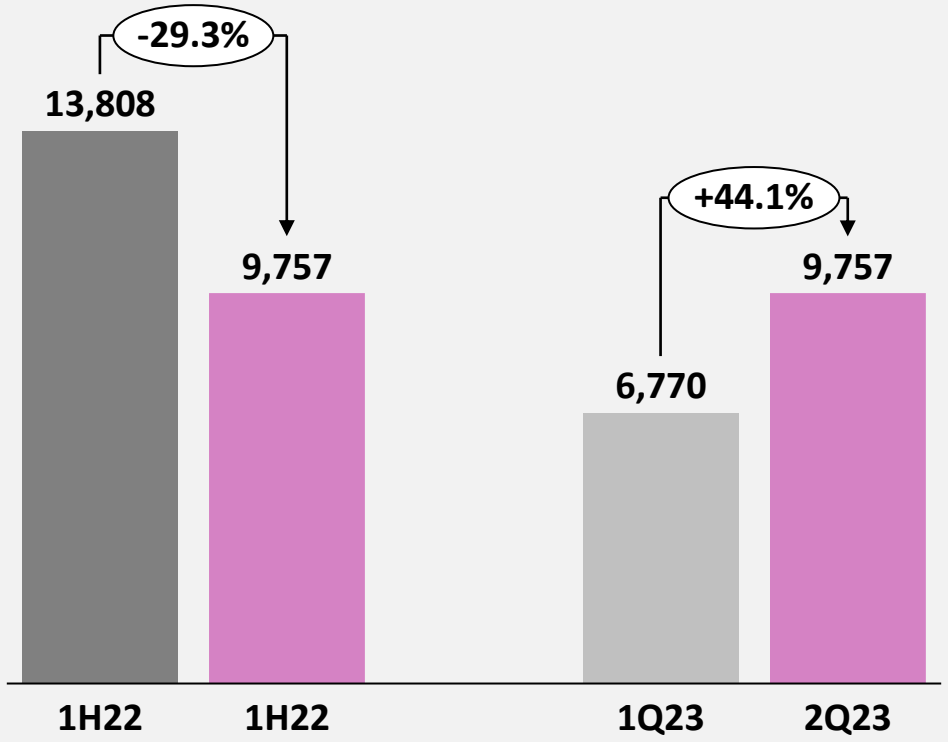
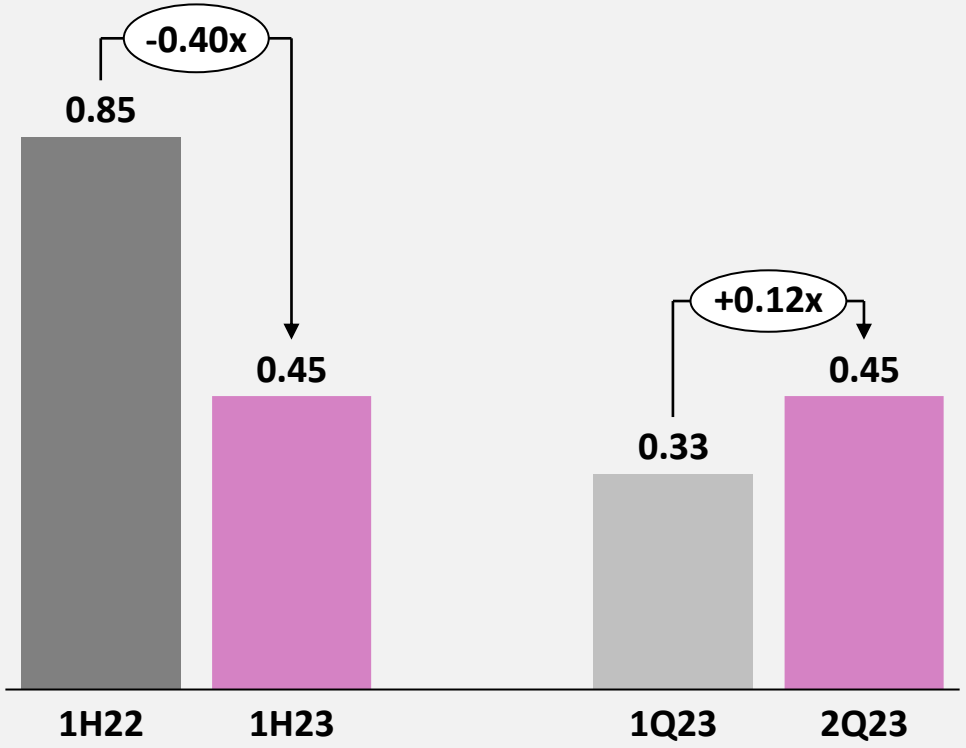
Healthy balance sheet maintained

Net - Debt



Net - Debt to EBITDA Ratio



All figures presented in IDR Bn.

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Operational Performance

Ritesh Singh

Director and CCO

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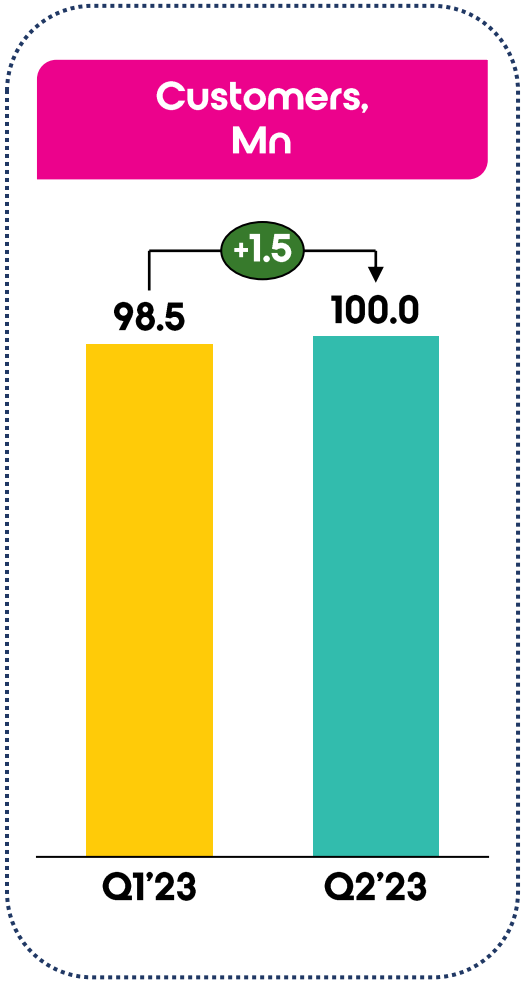
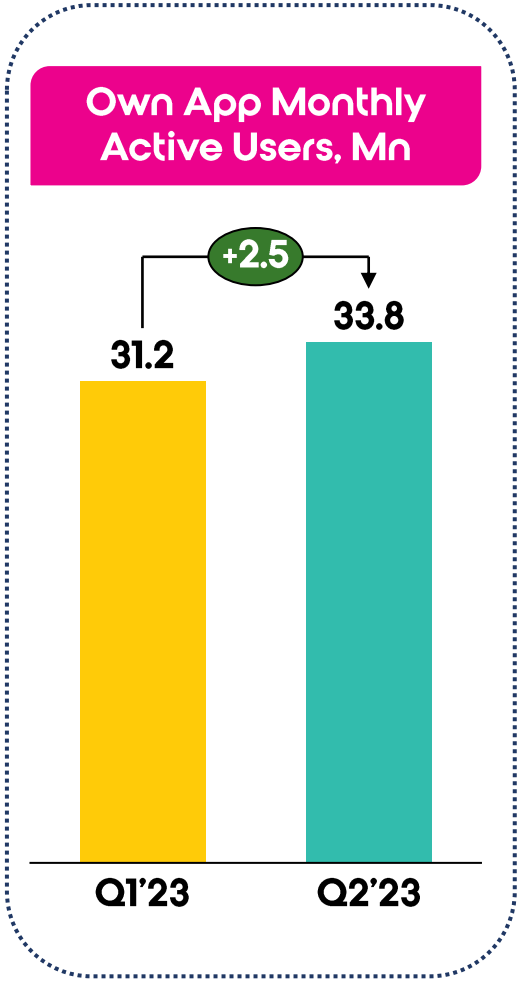
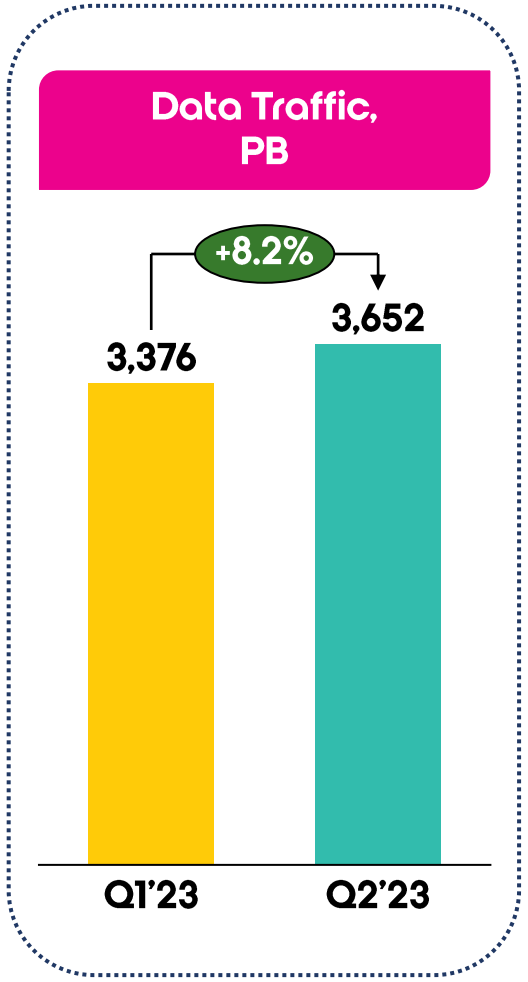
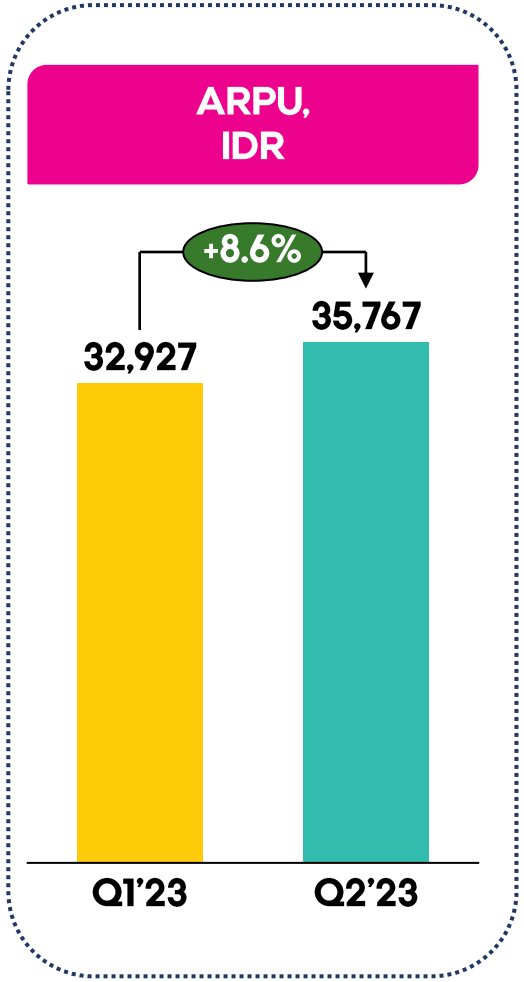
Operational indicators growing strongly YoY

Positive movement across all metrics









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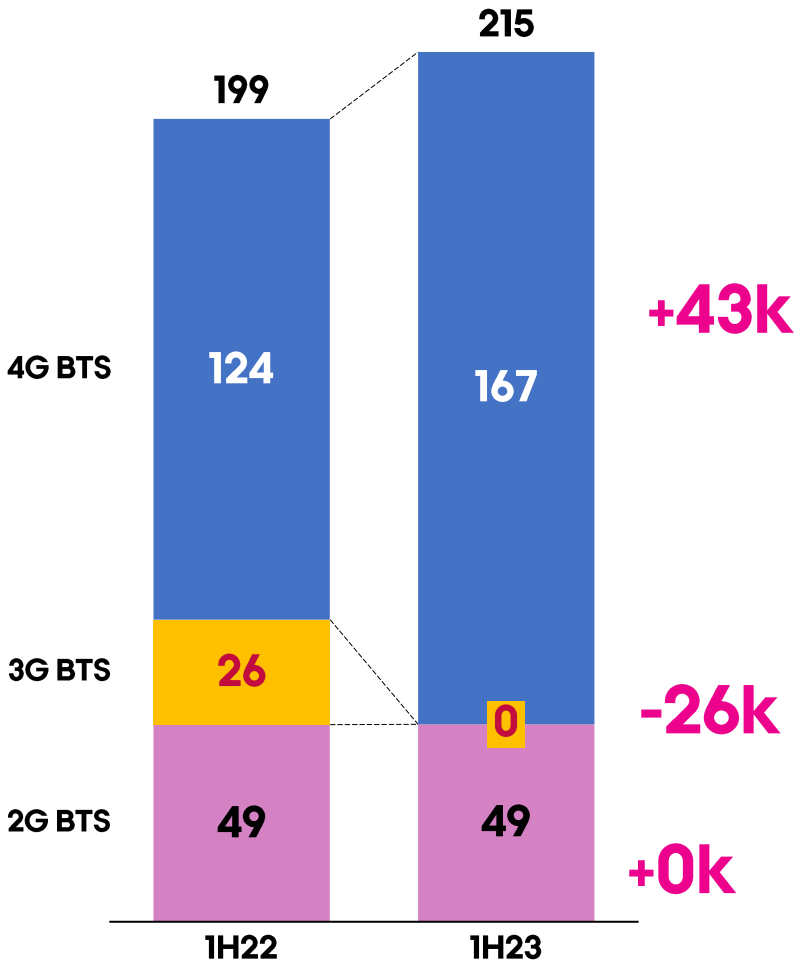
Network Integration Completed Across Indonesia with 4G BTS now at around 167k

Network Footprint



Fully Integrated Network Ensured Strong Lebaran

With a fully integrated network completed ahead of Lebaran, IOH delivered the best customer experience despite a 25% jump in data traffic during the peak.

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2023
Achievements

For these achievements in 2023, we have been recognized by prestigious national and international awards

Asia Pacific Stevie Awards

Gold Innovation in Technology Development CX Oriented Network Integration

Selular Award

- Operator of The Year
- CEO of The Year
- Best FTTH Performance
- Best Gaming Operator : Tri

HR Asia :
- Best Companies to Work For
- Digital Transformation Award

Asian Telecom Awards :
HR Initiative of The Year

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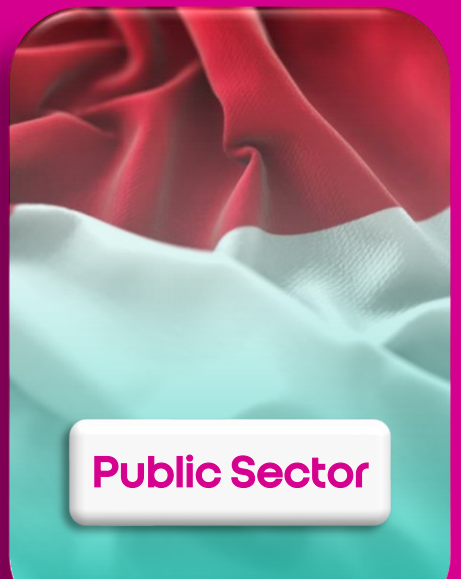
Gotong Royong

We are committed to continue to deliver world class digital experiences, connecting and empowering every Indonesian



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Guidance - upgraded

	2023 Guidance
Consolidated Revenue Growth	**In-line or Better Than Market**
EBITDA Margin	**Mid to High 40's**
CAPEX Spent	**IDR ~13 trillion**

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APPENDIX

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Normalized net-profit of 1H 2023 +1,273 Bn

	1Q23	2Q23	1H23
Reported Net Profit (in IDR bn)	**929**	**979**	**1,908**
Gain from Tower Sale	(652)	-	(652)
One-off reversal provision & consultant cost	(11)	(3)	(14)
One-off Tax Expenses	21	10	31
Normalized Net Profit*	**287**	**986**	**1,273**

Normalized net profit driven by stellar top line performance

** Net of Tax Impact*

All figures in IDR Bn

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Thank you

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